

- 1- Form of Subcontract Agreement
- 2- Appendix to the Subcontract Agreement
- 3- Conditions of the Subcontract Agreement
- 4- The Specifications
- 5- The Drawings
- 6- The Bill of Quantities
- 7- Annexures for any other documents forming part of the Subcontract Agreement and duly acknowledged by both Parties.

Form of Subcontract Agreement

FORM OF SUBCONTRACT AGREEMENT

THIS SUBCONTRACT AGREEMENT is made on the _____ Day of _____ 2026.

BETWEEN First Party;

M/s. Bhatia General Contracting Co. (L.L.C.) having its postal address at P.O. **Box 6007, Dubai, U. A. E. (hereinafter referred to as the "Main Contractor" or "BGCC")**

AND Second Party.

[Insert Name], having its postal address at P.O. Box **[Insert PO]**, Dubai, U. A. E., and Trade Licence No. **[TL Nr.]** (hereinafter referred to as the "Subcontractor")

PREAMBLE

WHEREAS the Main Contractor has entered into a principal contract (the "Main Contract") with *[Insert Employer Name]* (the "Employer") for the execution, testing, commissioning, and handing over to the relevant Authorities of the project known as *[Insert Project Name / Details]*, located at *[Insert Project Location]* (the "Project");

AND WHEREAS the Subcontractor confirms that it has thoroughly examined, reviewed, and is fully acquainted with all Subcontract Documents forming part of this Subcontract Agreement, and acknowledges that the Main Contractor's obligations towards the Employer under the Main Contract are dependent upon the proper and timely execution of the Subcontract Works;

AND WHEREAS the Subcontract Works to be performed under this Subcontract Agreement constitute an integral and essential part of the Works under the Main Contract, and the timely, proper, and compliant execution thereof is essential to the Main Contractor's performance of its obligations toward the Employer;

AND WHEREAS the Main Contractor desires to subcontract part of the Works under the Main Contract to the Subcontractor, and the Subcontractor has agreed to execute, complete, test, commission, remedy defects in, and warrant such Subcontract Works strictly in accordance with the terms and conditions of this Subcontract Agreement.

NOW, THEREFORE, the Parties hereby agree in this Subcontract Agreement as follows:

1. **The Subcontract Agreement;**

This Form of Subcontract Agreement, together with all documents referred to herein and attached hereto shall constitute an integral and indivisible Subcontract Agreement between the Parties.

Any reference in this Subcontract Agreement to the "Subcontract", the "Subcontract Agreement", the "Agreement", or the "Contract" shall be deemed a reference to this Subcontract Agreement and all documents forming part thereof.

2. **The Subcontract Price;**

The Main Contractor shall pay the Subcontractor the accepted Subcontract Price of *[Insert Amount]* United Arab Dirhams, subject to adjustment (additions, omissions, or deductions) in accordance with this Subcontract Agreement, in consideration for the execution, completion, and remedying of defects of the Subcontract Works and the full performance of the Subcontractor's obligations under this Subcontract Agreement.

3. Subcontract Agreement Documents:

The following documents shall form and be construed as comprising the Subcontract Agreement and shall be read and interpreted together as one integral and indivisible Agreement.

- 3.1 This Form of Subcontract Agreement (signed by Both Parties)
- 3.2 Appendix to the Subcontract Agreement
- 3.3 Conditions of the Subcontract Agreement
- 3.4 Specifications
- 3.5 Drawings
- 3.6 Bill of Quantities
- 3.7 Annexures for any addendums, correspondence, or any other documents expressly identified as forming part of the Subcontract Agreement and duly acknowledged by both Parties.

4. Time for Completion:

The Subcontractor shall complete the Subcontract Works within the time for completion stipulated in the Subcontract in accordance with the Main Contractor's project programme.

IN WITNESS WHEREOF, the Parties have caused this Contract to be executed by their respective duly authorized representatives as of the date first written above.

For and on behalf of the Main Contractor (BGCC) Name: _____ Designation: _____ Date; _____ Main Contractor Company Stamp	For and on behalf of the Sub-Contractor Name: _____ Designation: _____ Date; _____ Subcontractor Company Stamp
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Witnesses:

(.....) Operation Manager - BGCC	(.....) Estimation Manager - BGCC
Date: _____	Date: _____

Appendix to the Subcontract Agreement

APPENDIX TO THE SUBCONTRACT AGREEMENT

Item Description	Conditions Clause No.	Information and Data
The Main contractor	1.1	Bhatia General Contracting Co. (L.L.C.)
The Subcontractor	1.1	
The Employer	1.1	
The Engineer/ Consultant/ Subconsultant	1.1	
The Project	1.1	
Communications Address for Serving of the Notices	1.6	The Main Contractor Address Attention : Position Title: Address: Facsimile Number: Email Address: The Subcontractor Address Attention : Position Title: Address: Facsimile Number: Email Address:
The Subcontract Price	3.1	
The Subcontract Quantities (Lump Sum or Re-measurable)	3.3	
Advance Payment Amount	3.4.1	10% of the Contract Price AED
Performance Security	3.4.2	10% of the Contract Price AED
Advance Payment to be released by the Main Contractor	3.4.1	
Interim Payment to be paid by the Main Contractor	3.4.6	
1 st Half of retention Money to be released by the Main Contractor	3.4.7	
2nd Half of retention Money to be released by the Main Contractor	3.4.7	
Commencement Date	4.1	
Time for Completion	4.3(a)	Time for Completion of the Project: Time for Completion of the Subcontract Works:
Time for Completion of the Sections (Milestones)	4.3(b)	MS1 : MS2:

APPENDIX TO THE SUBCONTRACT AGREEMENT

Item Description	Conditions Clause No.	Information and Data
Defects Liability Period	5	
Rate Of Liquidated Damages	6.2	 per Calendar Day
Maximum Liquidated Damages	6.2	10% of the Contract Price
<i>Time to submit the Copies of the required Insurance Policies</i>	10.1	days from commencement Date
Dispute Resolution (Jurisdiction)	13.3	

Conditions of the Subcontract Agreement

Conditions of the Subcontract Agreement

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1 General Provisions:

1.1 Definitions

In this Subcontract Agreement, unless the context otherwise requires, the following terms shall have the meanings assigned to them below:

- a) "The Subcontract Agreement", "The Subcontract", "The Contract", or "The Agreement" means the Form of Subcontract Agreement together with these Conditions of Subcontract Agreement, the Specifications, the Drawings, the Bill of Quantities (BOQ), all Annexures and Appendices, and any other documents expressly listed in the Form of Subcontract Agreement as forming part of the Subcontract Documents, all of which shall be read and construed as constituting the Subcontract Agreement.
- a) "Main Contractor" means Bhatia General Contracting Co. (L.L.C.) and includes its legal successors and permitted assigns.
- b) "Sub-Contractor/Subcontractor" means the party named as Sub-contractor in the Form of the Subcontract Agreement includes its legal successors and permitted assigns.
- c) "The Employer" means the person or entity named as Employer in the Appendix to the Subcontract Agreement includes its legal successors and permitted assigns.
- d) "The Consultant", "The Subconsultant", or "The Engineer" means the person or entity named as such in the Appendix to the Subcontract Agreement, or any replacement appointed by the Employer, and includes their legal successors and permitted assigns.
- e) "Main Contract" means the agreement entered into between the Employer and the Main Contractor for execution of the Project.
- f) The "Project" means the development described in the Form of Subcontract Agreement and forming the subject matter of the Main Contract entered into between the Main Contractor and the Employer, including any amendments, variations, modifications, or supplements thereto.
- g) The "Subcontract Works" means all works, materials, labour, plant, equipment, services, testing, commissioning, warranties, and all other obligations required to be provided, performed, designed, or executed by the Subcontractor under the Subcontract Documents for the proper completion of the Subcontract Works in accordance with the Subcontract Agreement.
- h) "Site" means the location or locations identified by the Main Contractor within the Project premises for performance of the Subcontract Works.
- i) "Conditions of the Subcontract Agreement" means these Conditions of Subcontract forming part of the Subcontract Agreement.
- j) "Appendix to the Subcontract Agreement" means the completed pages entitled "Appendix to the Subcontract Agreement"
- k) "Annexures" means the documents attached to and forming part of the Subcontract Agreement, as listed under the Subcontract Agreement Documents.
- l) "Day" means a calendar day unless otherwise stated.
- m) "Party" means the Main Contractor or the Subcontractor as the context requires.
- n) "Variations" means change to the Works, which is instructed or approved as a variation by the Main Contractor, and/or the Employer.
- o) "Taking-Over Certificate" means the certificate issued by the Employer confirming that the Work or a specified part thereof has been completed and taken over, entitled "Taking Over Certificate (TOC)".

1.2 Interpretation

Headings are for convenience only and shall not affect interpretation. Words importing the singular include the plural and vice-versa; words importing any gender include all genders. References to laws or regulations shall include amendments thereto.

1.3 Priority of Documents

The documents comprise the Subcontract Agreement are listed below;

1. The Form of Subcontract Agreement,
2. The Appendix to the Subcontract Agreement,
3. The Conditions of the Subcontract Agreement,
4. The Specifications,
5. The Drawings,
6. The Bill of Quantities (BOQ),
7. Annexures for any addendums, correspondence, or any other documents expressly identified as forming part of the Subcontract Agreement and duly acknowledged by both Parties.

The Subcontract Documents shall be read and construed as mutually explanatory. However, In the event of any ambiguity, discrepancy, or conflict between the Subcontract Documents, the matter shall be referred to the Main Contractor for clarification in writing. The Main Contractor's decision shall prevail and to be final and binding on the Subcontractor for the purpose of execution of the Works.

For the purposes of defining the Scope of the Subcontract Works and the Subcontractor's contractual obligations, the most stringent requirements specified in the Subcontract Documents shall prevail and shall form the basis of the binding scope of works under this Subcontract Agreement.

The Sub-Contractor shall execute the Works accordingly in line with this clause, without entitlement to any additional cost or extension of time, unless otherwise instructed in writing by the Contractor.

If the Subcontractor proceeds with the execution of the Subcontract Works without obtaining such prior written directions from the Main Contractor, the Subcontractor shall bear full responsibility for any consequences arising therefrom. Any required modifications, corrections, or re-execution of the Subcontract Works resulting from such unauthorized execution shall be carried out by the Subcontractor at its sole cost and expense.

1.4 Obligations Awareness

- a) The Sub-Contractor confirms that it has examined and fully understood all Drawings, Specifications, Correspondence, and other Subcontract Documents issued by the Main Contractor, and that it possesses complete knowledge of the Subcontract Works.
- b) The Sub-Contractor acknowledges that it has verified all site conditions, project information, and relevant data necessary for the proper pricing and timely execution of the Works.
- c) The Sub-Contractor shall not be entitled to rely upon any doctrine of mistake, hardship, unforeseen conditions, or similar legal principle to avoid or vary its obligations under this Subcontract, except to the extent such principle constitutes mandatory provisions of applicable law.

1.5 Confidential Information

- a) the Subcontractor acknowledges and agrees that all commercial, financial, technical, contractual, pricing, design, programme, procurement, operational and strategic information relating to the Project, the Main Contractor, the Employer and/or the Main Contract, whether disclosed in writing, orally, electronically or otherwise ("Confidential Information"), shall be kept strictly confidential. The Subcontractor shall not, without the prior written consent of the Main Contractor, directly or indirectly disclose, publish, reproduce, circulate or otherwise make available any Confidential Information to any third

party, except strictly to its employees, agents or approved sub-contractors who have a demonstrable need to know for the sole purpose of performing the Subcontract Works and who are bound by equivalent confidentiality obligations.

- b) The Subcontractor shall use the Confidential Information solely for the proper performance of the Subcontract Works and shall not use such information for its own benefit or for any other project. The Subcontractor shall not directly or indirectly communicate with the Employer, the Engineer or any third party in relation to the Project's commercial or contractual matters without the prior written consent of the Main Contractor. Upon completion, suspension or termination of this Subcontract for any reason, the Subcontractor shall immediately return or permanently destroy all Confidential Information and confirm its compliance in writing.
- c) The obligations under this Clause shall survive the completion, expiry or termination of this Subcontract for a period of ten (10) years. The Subcontractor acknowledges that any breach of this Clause may cause irreparable harm to the Main Contractor and that the Main Contractor shall be entitled to seek injunctive relief and full indemnification for all losses, damages, costs and expenses arising from such breach, without prejudice to any other rights available under applicable law.

1.6 Communications

Wherever this Subcontract provides for the giving or issuing of any approval, certificate, consent, determination, notice, instruction, direction, or request, such communication shall be in writing and shall be delivered by hand (against written acknowledgment of receipt), sent by registered courier, transmitted by email (with delivery confirmation), or by any other agreed method of communication stated in the Appendix to the Subcontract Agreement.

Each Party shall use the communication details stated in the Appendix to the Subcontract Agreement. If either Party notifies the other Party of a change to its address or communication details, all subsequent communications shall be sent to the revised address or contact details.

2 Scope of Works

2.1 Scope of Works Obligations

The Subcontractor shall design (to the extent mentioned in the Subcontract Agreement), execute and complete the Subcontract Works, which shall include all works, services, materials, plant, equipment, and obligations necessary for the supply, execution, installation, completion, testing, commissioning, handover, and remedying of defects, as described in the Subcontract Documents and further detailed herein, and as required for the proper and timely completion of the Project in accordance with this Subcontract.

2.2 Scope of Works Details

(.....Insert.....) Scope to be detailed here

2.3 Reports, Records, and Documentation

2.3.1 Progress Reports

- a) The Subcontractor shall submit weekly written progress reports as per accepted formatting by the Main Contractor to summarize the actual progress of the Works against the planned Works programme. Each report shall include details of manpower, equipment, materials delivered to site, areas completed, and the overall percentage of progress achieved.
- b) The report shall identify any delays, disruptions, or issues that may affect the Work programme, together with proposed mitigation measures for any occurred or potential delays.
- c) Progress photographs shall be included with each report to demonstrate the physical status of the Works including stamp for the Timing, date, and location of the Works inside the Project.
- d) The Subcontractor shall submit any additional reports as requested by the Main Contractor, including all required information and records, whether on a daily, weekly, monthly, or other periodic basis, or occasionally as directed by the Main Contractor.
- e) Failure by the Subcontractor to submit such reports in accordance with the Main Contractor's instructions shall entitle the Main Contractor, without prejudice to any other rights, to prepare or generate the required reports at the Subcontractor's cost. Any reports so generated by the Subcontractor shall be deemed constitute the basis for any determination, assessment, or certification made by the Main Contractor under the Subcontract.
- f) The Subcontractor shall not be entitled to rely upon any record, document, or information not previously submitted in accordance with this Clause.

2.3.2 Daily Records

- a) The Subcontractor shall prepare and submit to the Main Contractor's Site Engineer daily records indicating manpower, plant and equipment, materials delivered, areas of work, and prevailing weather conditions.
- b) All daily records shall be jointly signed by the Subcontractor's and the Main Contractor's authorized representatives and retained as formal project documentation.
- c) Failure to submit daily records shall be deemed a waiver of any subsequent claims for time extension or additional costs related to the unrecorded period.

2.3.3 Meetings and Coordination

- a) The Subcontractor shall attend all meetings as required by the Main Contractor, including but not limited to coordination, progress, safety, and quality meetings.
- b) Minutes of meetings shall be deemed accurate and binding unless disputed in writing within two (2) working days of issuance.

2.3.4 Quality and HSE Records

- a) The Subcontractor shall maintain and submit all required Quality Assurance / Quality Control (QA/QC) documentation, including inspection requests, checklists, and test reports, in accordance with the Main Contractor's requirements.
- b) All Health, Safety, and Environment (HSE) documentation—such as risk assessments, toolbox talks, incident reports, and safety statistics—shall be submitted weekly or as otherwise directed by the Main Contractor.
- c) Approval, review, or acceptance of any QA/QC or HSE documentation by the Main Contractor shall not relieve the Subcontractor of its sole and full responsibility for the quality, safety, compliance, and proper execution of the Subcontract Works. The Subcontractor shall be fully liable for and shall indemnify and hold harmless the Main Contractor against any fines, penalties, losses, damages, claims, liabilities, or costs arising out of or in connection with any failure to comply with applicable quality standards, safety regulations, environmental requirements, or statutory obligations.
- d) The Main Contractor shall have the right to suspend the Subcontract Works immediately in the event of any serious or repeated quality or HSE breach, and any associated delay or cost shall be entirely at the Subcontractor's risk and expense.
- e) Any HSE violation resulting in serious injury, fatality, or governmental stop-work order shall constitute a material breach entitling the Main Contractor to terminate the Subcontract immediately without compensation.

2.3.5 Correspondence and Documentation

- a) All correspondence between the Main Contractor and the Subcontractor shall be in writing and shall reference the Subcontract Agreement.
- b) The Subcontractor shall maintain a comprehensive filing system for all project communications, drawings, approvals, and records for a period of not less than five (5) years following final completion.

3 Subcontract Price and Payments

3.1 The Subcontract Price

The total Subcontract Price Sum for the execution and completion of the Subcontract Works and performance of all obligations under this Subcontract Agreement shall be as mentioned in the Form of the Subcontract Agreement.

3.2 Fixed Rates Price

- a) The price rates mentioned in the Subcontract Agreement are fixed and firm and deemed to include, without limitation, all costs of labour, materials, plant, transportation, equipment, supervision, temporary works, testing, commissioning, overheads, profit, insurances, compliance with applicable laws and regulations, site conditions, coordination with other trades, and all other obligations whatsoever required for to fully and properly complete the Subcontract Works in accordance with the Subcontract Agreement.
- b) The price rates mentioned in the Subcontract Agreement are lump sum and shall not be subject to any adjustment, escalation, or revision whatsoever on account of fluctuations in labour, materials, plant, fuel, transportation, currency exchange rates, duties, taxes, or any other cost components, whether foreseeable or unforeseeable, for the entire duration of the Subcontract.

3.3 The Subcontract Quantities (Lump Sum or Re-measurable)

(.....Insert.....) To Insert the Quantities Type

The Quantities mentioned in this Subcontract Agreement is

- i. Lump Sum quantities
The quantities stated in the Bill of Quantities are indicative only and are included solely for the purpose of interim payment assessment. The Subcontract Price shall remain a lump sum and shall not be subject to re-measurement or adjustment based on the quantities stated in the BOQ.
- ii. Re-measurable quantities
The quantities stated in the Bill of Quantities are provisional and subject to increase or decrease based on actual measurement of the executed Works as approved by the Main Contractor.

3.4 Payments Terms

3.4.1 Advance Payment

- a) The Subcontractor shall, within seven (7) days from the date of signing this Subcontract Agreement, submit the Advance Payment Guarantee as per attached format.
- b) The Main Contractor shall pay to the Subcontractor an advance payment equal to **(.....Insert.....)** UAE Dirhams as an interest-free advance, subject to the Subcontractor fulfilling all contractual preconditions, including submission of an unconditional and irrevocable Advance Payment Guarantee and Submitting the performance bond acceptable to the Main Contractor, signing the Form of Subcontract Agreement.
- c) Such advance payment shall be released by the Main Contractor to the Subcontractor after receiving all prerequisites above, and within **(.....Insert.....)**
- d) Advance Payment Guarantee shall be in the form accepted by the Main Contractor as a bank guarantee equivalent to the amount of the advance payment.

- e) The Advance Payment Guarantee shall remain valid until the full recovery of the advance amount from the Interim payments certified under this Subcontract.
- f) The Subcontractor acknowledges that the advance payment remains the property of the Main Contractor until fully recovered and shall not be deemed earned upon receipt.

3.4.2 Performance Security

- a) The Subcontractor shall, within seven (7) days from the date of signing this Subcontract Agreement, submit the Performance Security as per attached format.
- b) Performance Security shall be a Performance Bond equivalent to total amount stipulated in the Appendix to the Subcontract, issued as an unconditional, on-demand bank guarantee by a bank acceptable to the Main Contractor.
- c) The Performance Security shall remain valid until thirty (30) days after the expiry of the Defects Liability Period unless extended as required by the Main Contractor.
- d) The Main Contractor may, at its sole discretion, require the Subcontractor to extend the validity of the bond, if necessary, to comply with the Main Contract or to reflect the actual project requirements.

3.4.3 Call on Bonds

- a) The Main Contractor shall be entitled, at its sole discretion and without prejudice to any other rights or remedies available under the Subcontract or law, to make demand and call upon the submitted Bonds by the Subcontractor (Advance Payment Bond and/or the Performance Bond), in whole or in part, in the event of:
 - I. Any default, failure to perform, or breach of the Subcontract by the Subcontractor, provided that the Main Contractor has issued a written notice describing such default and the Subcontractor has failed to remedy the same within seven (7) days of receipt of such notice; or
 - II. Delay in completion of the Subcontract Works, failure to achieve contractual milestones, suspension of the Works attributable to the Subcontractor, or failure to comply with any contractual obligation; or
 - III. Any circumstance under which the Main Contractor is entitled to recover or set off costs, losses, damages, liquidated damages, advance payments, or any other sums due from the Subcontractor under this Subcontract.

The Subcontractor acknowledges and agrees that the Bonds are on-demand instruments and that the Main Contractor shall not be required to give prior notice, obtain any prior court judgment, arbitral award, or consent of the Subcontractor before making a call.

3.4.4 Interim Payments Applications

- a) Monthly payment applications shall be submitted by the 25th of each month, supported by approved Material Inspection Requests (MIRs), Work Inspection Requests (WIRs), measurement sheets, progress photographs, and any other documentation required by the Main Contractor.
- b) The Subcontractor shall be entitled to Monthly interim payments based on the actual progress of the Subcontract Works as certified by the Engineer/Consultant and as verified by the Main Contractor.

3.4.5 Certification and Deductions

- a) Each payment shall be subject to review, adjustment, and certification by the Main Contractor's Quantity Surveyor or other authorized representative.

- b) The Main Contractor has the right to revise any previous certified payment and consider this revision in any or forthcoming payments as appropriate.
- c) No payment shall be deemed due until the Main Contractor has verified and certified the value of the executed work based on approved documentation.
- d) The Main Contractor reserves the right to make all applicable deductions, including retention, advance payment recovery, liquidated damages, and any other set-offs permissible under this Agreement.
- e) Any payment issued by the Main Contractor to the Subcontractor shall not constitute acceptance of incomplete, defective, or non-compliant works, nor shall it limit the Main Contractor's rights to adjust, reject, or recover such amounts if discrepancies or defects are subsequently identified.

3.4.6 Interim Payment by the Main Contractor

- a) The Main Contractor shall pay the Subcontractor the amounts properly due under this Subcontract within (.....Insert.....) days from the date of actual receipt by the Main Contractor of the corresponding payment from the Employer in respect of the Subcontract Works (back-to-back basis).
- b) All payments to the Subcontractor shall be subject to retention, advance payment recovery, liquidated damages, statutory deductions, back charges, and any other deductions or set-offs permissible under this Subcontract or at law.
- c) The Main Contractor shall be entitled to withhold or deduct such amounts from any interim or final payment certificate without prejudice to any other rights or remedies available under the Subcontract.

3.4.7 Retention Money and Final Payment

- a) A Ten (10%) from each Interim Payment shall be withheld from all certified payments as a Retention Money to ensure proper performance and completion of the Subcontract Works.
- b) The retention amount shall represent the Final payment to the Subcontractor.
- c) Subject always to the Subcontractor's satisfactory performance of all contractual obligations and full compliance with the requirements of this Subcontract, the Final Payment due to the Subcontractor shall be released in two equal instalments, as follows:
 - I. First instalment (5%) to be released within (.....Insert.....) days after:
 - i. The Main Contractor has received the corresponding payment from the Employer in respect of the Subcontract Work on back to back basis.
 - ii. Completion of all Subcontract Works and rectification of all defects to the Satisfaction of the Main Contractor;
 - iii. Submission of As-built drawings, original warranties, and all required close-out documentation, including material origin certificates, O&M manuals, guarantees, warranty certificates, and the Taking-Over Certificate;
 - iv. Certification of completion and final account by the Main Contractor; and
 - v. Receipt by the Main Contractor of the corresponding payment from the Employer.
 - II. The Second instalment (5%) to be released (.....Insert.....) days after:
 - i. expiry of the Defects Liability Period applicable to the Subcontract Works;
 - ii. issuance of the Final Completion Certificate by the Main Contractor; and
 - iii. the Main Contractor's receipt of the corresponding retention payment from the Employer in respect of the Subcontract Works.

- d) Release of the Final Payment shall be subject to the Subcontractor having fully discharged all its obligations under the Subcontract and having rectified all defects to the Main Contractor's satisfaction.
- e) Payment of the second instalment shall constitute the Final Account and shall be deemed to represent full and final settlement of all claims, entitlements, demands, and liabilities (if any) of the Subcontractor arising out of or in connection with this Subcontract.
- f) No further payment shall be due to the Subcontractor after the full release of the retention.

3.4.8 Discharge Letter

The release of the Final Payment shall be strictly conditional upon the Subcontractor submitting a duly executed final account statement together with an unconditional and irrevocable Discharge Letter, in a form acceptable to the Main Contractor, confirming the final amount due under the Subcontract and releasing the Main Contractor from any and all further claims, demands, liabilities, or entitlements arising out of or in connection with the Subcontract Works.

3.5 Deductions and Set Off

In the event that the amounts due or becoming due to the Subcontractor under this Subcontract are insufficient to satisfy any sums due from the Subcontractor to the Main Contractor under this Subcontract, the Main Contractor shall have the right, at any time and at its sole discretion, to set off and recover the outstanding balance from any other monies, payments, or sums due or becoming due to the Subcontractor under any other subcontract, or agreement with the Main Contractor or its affiliates.

Without limitation, the Main Contractor may exercise its right of set-off in respect of;

- a) Any costs, losses, damages, delays, liabilities, or expenses incurred or likely to be incurred by the Main Contractor arising out of or in connection with any act, omission, breach, delay, negligence, or default of the Subcontractor;
- b) Any failure by the Subcontractor to perform or complete the Subcontract Works in accordance with the Subcontract Documents, required quality standards, specifications, or approved programme;
- c) Any liquidated damages, advance payment recoveries, statutory deductions, penalties, back charges, or third-party claims for which the Main Contractor becomes liable due to the Subcontractor's acts or omissions;
- d) Any amounts overpaid to the Subcontractor or paid in error.

The exercise of any right of set-off shall not relieve the Subcontractor from its obligations under this Subcontract and shall not constitute a waiver of any other rights or remedies available to the Main Contractor under the Subcontract or at law.

3.6 Securities Obligations

- a) Failure by the Subcontractor to provide or maintain the required Performance Bond or Advance Payment Guarantee shall entitle the Main Contractor to suspend payments, withhold certifications, and/or terminate the Subcontract.
- b) All securities and guarantees shall be issued in favour of Bhatia General Contracting Co. (L.L.C.) and shall be irrevocable, unconditional, and payable upon first written demand.

4 Programme Of Works and Delays

4.1 Commencement Date

- a) The Commencement Date for the Subcontract Works shall be the date specified in the written instruction issued by the Main Contractor directing the Subcontractor to commence the Subcontract Works
- b) The Subcontractor shall commence the Subcontract Works within seven (7) days from the Commencement Date, or within such other period as may be agreed in writing by the Main Contractor.
- c) The Subcontractor shall proceed with the performance of the Subcontract Works with due expedition, diligence, and without delay

4.2 Programme of the Subcontract Works

- a) Within seven (7) days from the Commencement Date, the Subcontractor shall submit to the Main Contractor's review and approval a detailed work programme and construction methodology, in a format acceptable to the Main Contractor, showing the sequence of execution of the Subcontract Works, construction activities, engineering submittals schedule, material procurement and delivery schedule, and key milestones aligned with the Main Contractor's overall Works programme.
- b) The Subcontractor's work programme shall be accompanied by a manpower histogram indicating the manpower resources proposed to be deployed to achieve the planned progress and the Time for Completion dates. Such manpower plan shall be substantiated by supporting calculations, including assumed productivity rates, quantities of work, and trade requirements used in determining the required manpower.
- c) The Subcontractor's submitted work programme and construction methodology shall be subject to review and approval by the Main Contractor and shall be submitted in a format acceptable to the Main Contractor together with any additional information requested by the Main Contractor.
- d) Upon approval of the Subcontractor's work programme by the Main Contractor, the approved work programme shall become binding on the Subcontractor and shall form an integral part of this Subcontract Agreement. However, in case of non-approval of the Subcontractor's work programme for any reasons, the Main Contractor's Work Programme shall stand as the accepted Subcontractor's works programme till existing of the Subcontractor's approved work programme
- e) Upon approval of the Subcontractor's work programme by the Main Contractor, the approved work programme shall become binding on the Subcontractor and shall form an integral part of this Subcontract Agreement.
- f) In the event that the Subcontractor's work programme is not approved for any reason, the Main Contractor's Works Programme shall apply and shall be deemed the governing programme for the performance of the Subcontract Agreement until such time as the Subcontractor submits and obtains approval of its work programme from the Main Contractor.

- g) The Subcontractor acknowledges and agrees that it shall fully comply with the approved Subcontractor's work programme and shall have no right to dispute, delay, or deviate from it, unless otherwise agreed in writing by the Main Contractor.

4.3 Time for Completion

- a) The Subcontractor shall complete the entire Subcontract Works, including all associated testing, commissioning, obtaining approvals from the relevant authorities (where applicable), and handing over the Subcontract Works to the Main Contractor and/or the Employer, within **(.....Insert.....)** from the Commencement Date or by **(.....Insert.....)**.
- b) The Subcontractor shall complete the following Milestones of the Subcontract Works within the time periods stated below:

Milestone Section Description	Time for Completion	Corresponding Liquidated Damages
Start of Material Submission	(.....Insert.....)	Example
complete all Material submission	(.....Insert.....)	2,000 Dhs / Week
Start of Submission of Shop drawings	(.....Insert.....)	

The above milestones shall be considered binding interim completion requirements, and failure to achieve them shall entitle the Main Contractor to apply the corresponding liquidated damages as stated above

- c) The Subcontractor shall at all times maintain sufficient manpower, plant, equipment, and other necessary resources to comply with the Main Contractor's site plan and programme requirements.
- d) The Subcontractor shall plan, coordinate, and execute the Subcontract Works in full alignment with the Main Contractor's Works Programme so as to avoid any delay, disruption, or interference with the progress of the Main Contract Works.
- e) The Main Contractor reserves the right, where necessary, to revise the Main Contractor's Works Programme to reflect updated project conditions or site requirements. The Subcontractor shall promptly comply with such revisions and shall, with due diligence, revise its Subcontract Work Programme to align with the revised Main Contractor's Works Programme.

4.4 Handing Over

- f) The Subcontract Works shall not be considered substantially complete unless and until the Subcontractor has submitted all required handing over documentation as notified by the Main Contractor, including but not limited to as-built drawings, operation and maintenance manuals, warranties, test reports, and any other documents required under the Subcontract.
- g) The Substantial completion shall also be subject to the issuance of the Taking-Over Certificate (TOC) for the Project by the Employer under the Main Contract.

- h) The Subcontractor shall not be deemed discharged from its obligations under this Subcontract Agreement unless and until the Performance Certificate is issued by the Main Contractor following the successful completion of the Defects Liability Period.

4.5 Rate of Progress

- a) Slow Rate of Progress
- i. If, in the opinion of the Main Contractor, the Subcontractor is failing, or is likely to fail, to maintain a sufficient rate of progress to achieve the Time for Completion of the Subcontract Works, the Main Contractor shall issue a written notice to the Subcontractor notifying it of such Slow Rate of Progress.
 - ii. Upon receipt of such notice, the Subcontractor shall, within seven (7) days, implement all necessary mitigation and recovery measures to improve the rate of progress and restore the progress of the Subcontract Works to a level reasonably required to achieve the Time for Completion.
- b) Failure to Achieve
- i. If, following the issuance of the Notice of Slow Rate of Progress, the Subcontractor fails to demonstrate satisfactory improvement and the delay continues such that the Subcontract Works progress falls (3%) behind the work programme (measured in delayed days relative to the total duration of the Subcontract Works), the Main Contractor shall have the right, but shall not be obliged, to:
 - Deploy its own resources to carry out any part of the Subcontract Works at the Subcontractor's cost; and/or
 - Engage others to execute such works at the Subcontractor's cost.
 - Implement any other reasonable measures deemed necessary by the Main Contractor to recover the delay and maintain the project on schedule.
 - ii. If the delays continued to be increased and the delays in terms of time reached to 10% behind the work programme (delays by days compared to the Subcontract Works duration) then the Contractor has the right to terminate the Subcontract Agreement.
 - iii. If the delay continues and the Subcontract Works progress falls (10%) behind the work programme (measured in delayed days relative to the total duration of the Subcontract Works), the Main Contractor shall have the right to terminate the Subcontract Agreement, in accordance with the termination provisions of the Subcontract Agreement.
- c) Without prejudice to any other rights or remedies available under the Subcontract Agreement or at law, the Main Contractor shall be entitled to recover from the Subcontractor all additional costs, expenses, and damages incurred by the Main Contractor as a result of exercising the rights set out above, and such amounts shall be recoverable from the Subcontractor as a debt due.

4.6 Delay and Notices

If the Subcontractor becomes aware of any event or circumstance which may, or is likely to, delay or disrupt the progress of the Subcontract Works, the Subcontractor shall notify the Main Contractor pursuant to the Claims Clause.

The notice requirement is a condition precedent and is intended to enable the Main Contractor to protect and maintain its corresponding rights under the Main Contract and to properly discharge its obligations to the Employer.

Failure by the Subcontractor to give such notice within the prescribed period shall constitute a waiver of any entitlement to an extension of time, additional cost, or any claim whatsoever arising out of or in connection with such event or circumstance.

4.7 Extension Of Time (EOT)

The Subcontractor shall be entitled to an extension of time only to the extent that a corresponding extension of time is granted to the Main Contractor under the Main Contract for the same delaying event, and only where such delay is not due to any act, omission, or default of the Subcontractor: The Main Contractor may, at its sole discretion, consider granting an extension of time where the delay is proven to have been caused by:

- i. Variations or instructions issued by the Main Contractor based on the Employer's / Consultant's directions or
- ii. Force majeure events as defined in Clause 18; or
- iii. Any cause for which the Main Contractor or the Employer is responsible, provided such cause has been acknowledged and approved by the Consultant/Employer as justifying an extension of time under the Main Contract.

Any extension of time granted to the Subcontractor shall not exceed the corresponding extension approved for the Main Contractor under the Main Contract. Delays or events not recognized or approved by the Consultant/Employer under the Main Contract shall not automatically entitle the Subcontractor to an extension of time or additional compensation. However, the Main Contractor may, at its discretion, review any substantiated request and determine appropriate relief if deemed fair and reasonable in light of project circumstances.

4.8 Acceleration

The Main Contractor may instruct the Subcontractor to accelerate progress where required to recover lost time or to meet project completion and/or milestones. Unless such acceleration is due to the Subcontractor's own delay, reasonable additional costs, if any, shall be subject to prior written approval by the Main Contractor.

4.9 Mitigation

The Subcontractor shall always use its best endeavors to prevent and mitigate delay and to adhere to the Main Contractor's programme.

5 Defects Liability Period (DLP)

- a) The Subcontractor shall remain fully responsible for the Subcontract Works until the Taking-Over Certificate is issued in respect of the Main Works.
- b) Upon issuance of the Taking-Over Certificate, the Subcontractor shall remain fully responsible for the performance, quality, and durability of the Subcontract Works throughout the period of (.....Insert.....) Months the Defects Liability Period (DLP) from the TOC date or as may stipulated in the issued TOC by the Employer which overcomes latter.

5.1 Obligations During the DLP

- a) The Subcontractor shall, at its own cost, promptly and diligently rectify, remedy, any defect, shrinkage, or other fault in the Subcontract Works that arises during the DLP and is due to defective materials, workmanship, or design.
- b) Upon written notice from the Main Contractor, the Subcontractor shall immediately commence and complete such rectification works to the satisfaction of the Main Contractor and the Employer.
- c) In the event of an emergency or failure by the Subcontractor to take corrective action within the period stated in the notice, the Main Contractor may carry out the necessary works at the Subcontractor's cost, In case of rectification works carried out by the Main Contractor or by third parties on behalf of the Main Contractor shall be at the sole cost of the Subcontractor, and the Subcontractor shall have no right to delay, dispute, or object to such works without prejudice to any other rights under this Agreement.

5.2 Warranties

- a) The Subcontractor shall provide all warranties, guarantees, manufacturer's certificates, operation and maintenance (O&M) manuals, and technical data sheets for all materials, equipment, and systems incorporated into the Subcontract Works.
- b) All warranties shall be issued in the name of the Main Contractor (and the Employer, if required) and shall remain valid for the period specified by the manufacturer or for a minimum of twelve (12) months from the date of Final Acceptance, whichever is longer.
- c) The Subcontractor shall, at its own expense, repair or replace any defective materials or workmanship covered by the warranty.

5.3 Access For Remedial Works

The Subcontractor shall provide full access, labour, supervision, and all necessary resources to carry out remedial works during the DLP, ensuring such activities do not disrupt other trades or the Employer's operations.

5.4 Security And Deductions

Retention monies held by the Main Contractor shall be released only after:

- a) Expiry of the Defects Liability Period;
- b) Completion of all required defect rectification to the satisfaction of the Main Contractor;
- and
- c) Submission of all final warranties, guarantees, and clearances.

5.5 Indemnity



The Subcontractor shall indemnify and hold harmless the Main Contractor from and against any loss, damage, cost, or liability arising from defective or non-conforming Subcontract Works during the DLP.

6 Liquidated Damages

6.1 Applicability

If the Subcontractor fails to complete the Subcontract Works, or any defined section thereof, within the Time for Completion period applied under this Subcontract Agreement (including any approved extensions), the Main Contractor shall be entitled to recover Liquidated Damages (LADs).

6.2 Rate Of Liquidated Damages

- a) The rate of Liquidated Damages (LADs) shall apply per calendar day or part or the day of delay at the rate of (.....Insert.....) UAE per calendar day in part or full day
- b) Liquidated Damages (LADs) shall accrue from the day immediately following the Contractual Completion Date until the date of actual completion or Taking-Over of the Subcontract Works.
- c) The maximum aggregate amount of Liquidated Damages (LDs) shall be capped at ten percent (10%) of the Subcontract Price or at the maximum percentage permitted by applicable law or regulations in the United Arab Emirates, whichever is higher, without prejudice to any other deductions, set-offs, or recoveries due under this Subcontract or the Main Contract.

6.3 Recovery Of Liquidated Damages

- a) LADs may be recovered by deduction from any amounts due or becoming due to the Subcontractor, including but not limited to interim payments, retention monies, or the Performance Bond.
- b) Such recovery shall be without prejudice to the Main Contractor's right to claim any additional costs or damages arising from the delay.
- c) In the event that the deductions, set-offs, or recoveries under clauses (a) and (b) are insufficient to cover the full amount of Liquidated Damages or any additional costs or losses, the Main Contractor shall be entitled to recover the balance from the Subcontractor by any legal means available under applicable law in the United Arab Emirates.

6.4 No Penalty

- a) The Parties acknowledge that the LADs stipulated herein represent a genuine pre-estimate of the loss likely to be suffered by the Main Contractor in the event of delay, and do not constitute a penalty.
- b) The Main Contractor's entitlement to recover LADs shall be without prejudice to any other rights or remedies available under the Subcontract or at law.
- c) The Main Contractor's decision regarding the application of LADs, retention, and security shall be final and binding.

7 Variations

7.1 Right To Instruct Variations

- a. The Main Contractor may at any time instruct additions, omissions, substitutions, or other changes to the Subcontract Works (each a "Variation"). The Subcontractor shall promptly comply with all written instructions issued by the Main Contractor in this regard.
- b. No Variation shall invalidate this Agreement.

7.2 Valuation Of Variations

The valuation of each instructed Variation shall be carried out by the Subcontractor in accordance with the Scope of Works and all Subcontract Agreement Documents, and shall in all cases remain subject to the Consultant's evaluation and the Employer's approval under the Main Contract:

- (a) Where applicable, the valuation shall be made by applying the relevant rates and prices contained in the Subcontract Sum;
- (b) Where no such rate exists, by reference to comparable rates in the Main Contract or by a fair and reasonable valuation established and approved in writing by the Main Contractor; and
- (c) Where a Variation involves omission, the Main Contractor shall be entitled to deduct the corresponding value, including associated overheads and profit.

No Variation shall result in any adjustment to the Subcontract Sum unless and until the corresponding scope, quantities, and valuation have been reviewed and approved by the Consultant/Employer under the Main Contract. The Main Contractor's determination of such value shall be final and conclusive, except for correction of any manifest error.

7.3 Variations Procedure

- (a) The Subcontractor shall not carry out any Variation unless and until it has received a written instruction to do so from the Main Contractor.
- (b) The Subcontractor shall not delay or suspend the execution of any instructed Variation due to the absence of agreement on cost and/or time. All such varied Works shall be executed as instructed and shall be subject to subsequent valuation and adjustment by the Main Contractor in accordance with Clause 7.4.

7.4 Main Contractor's Assessment

- i. All Variations, including any related adjustments to time or cost, shall be assessed strictly in accordance with the provisions of this Subcontract and on a back-to-back basis with the Main Contract.
- ii. The valuation and settlement of any Variation shall be carried out only after the corresponding scope, quantities, and cost have been reviewed and approved by the Consultant/Employer under the Main Contract.
- iii. The Main Contractor shall determine the value and any associated adjustment to time or cost after such review, and such determination shall be final and binding, subject only to correction of any clerical or arithmetic errors.
- iv. The Subcontractor acknowledges that the evaluation and settlement of any claim or Variation may be undertaken in accordance with the contractual procedures and approvals, and that no Variation or instruction shall entitle the Subcontractor to suspend, delay, or defer execution of the instructed works pending such assessment.

7.5 Effect On Programme

The Subcontractor shall promptly incorporate approved Variations into its working programme and shall ensure that no disruption or delay occurs to the progress of the Project.

7.6 No Claim for Anticipated Profit

The Subcontractor shall not be entitled to any payment or compensation for loss of anticipated profit, loss of opportunity, or any consequential or indirect loss arising out of any omission, reduction, extension of time, or change to the Subcontract Works.

8 Quality, Testing and Defects Liability

8.1 Quality Of Work

The Subcontractor shall carry out all Subcontract Works in a professional and workmanlike manner, in accordance with:

- a) The Subcontract Documents;
- b) Approved shop drawings;
- c) Relevant codes, standards, and statutory requirements; and
- d) Instructions issued by the Main Contractor from time to time.

8.2 Materials and Workmanship

All materials supplied by the Subcontractor shall be new, of good quality, and fit for the intended purpose. Workmanship shall comply with industry best practices and be free from defects.

8.2 Testing And Inspection

- a) The Subcontractor shall provide all labour, materials, equipment, and access necessary for testing, inspection, and commissioning.
- b) The Main Contractor or its representatives may inspect, test, and reject any portion of the Subcontract Works not meeting contractual requirements.
- c) Any rejected work or material must be rectified or replaced at the Subcontractor's cost and within the timeframe specified by the Main Contractor.

8.3 Rectification Of Defects

The Subcontractor shall:

- a) Respond promptly to defect notifications;
- b) Carry out rectification works at its own cost;
- c) Ensure that the rectification does not interfere with other works on site; and
- d) Complete all defect rectifications within the timeframe stipulated by the Main Contractor.

8.4 Final Acceptance

Final acceptance of the Subcontract Works shall occur only after:

- a) Completion of all Subcontract Works;
- b) Completion of any defect rectifications;
- c) Submission of all required warranties, test certificates, and as-built documentation.

9 Subcontractor's Personnel, Equipment and Site Rules

9.1 General Responsibilities

The Subcontractor shall perform and complete the Subcontract Works in a safe, proper, and workmanlike manner, in accordance with the Subcontract Documents, approved drawings, specifications, and all applicable laws, standards, and statutory requirements. The Subcontractor shall provide all necessary labor, supervision, tools, materials, equipment, and resources to execute the Works efficiently and without delay.

9.2 Personnel and Supervision

The Subcontractor shall employ only competent, qualified, and experienced personnel, tradesmen, and supervisory staff, each holding valid work permits, IDs, and approvals as required by law. A full-time, approved Project Manager shall be appointed and maintained on Site throughout the Works. Failure to do so shall result in a daily charge of AED 1,500 until compliance.

The Main Contractor may require the removal from Site of any individual deemed incompetent, negligent, disorderly, or otherwise unsuitable, without liability for any resulting delay or cost to the Main Contractor.

9.3 Site Access and Conduct

Prior to mobilization, the Subcontractor shall submit a full manpower list, copies of identification, work permits, and other required documentation. Site access shall be subject to the Main Contractor's control and may be withdrawn for non-compliance or misconduct. All personnel shall observe discipline, order, and proper decorum, shall not interfere with other trades, and shall wear the prescribed personal protective equipment (PPE) at all times.

9.4 Compliance and Coordination

The Subcontractor shall comply with all Main Contractor site rules and procedures, security requirements, HSE regulations, and the instructions of the Main Contractor and relevant authorities. It shall coordinate and cooperate fully with the Main Contractor, consultants, and other subcontractors to ensure the orderly progress of the overall project, avoiding any obstruction, interference, or delay to others.

9.5 Working Hours and Permits

All work shall be carried out strictly within approved working hours. Written approval from the Main Contractor is required for overtime, weekend, or holiday work. No additional payment shall be made for such extended hours, and the Subcontractor shall bear all related costs, including any consultant supervision or inspection fees. The Main Contractor shall not be responsible for delays or costs arising from the Subcontractor's failure to obtain required permits or approvals.

9.6 Equipment and Plant

The Subcontractor shall, at its own expense, provide and maintain all necessary tools, equipment, scaffolding, lifting devices, and transport to execute the Works safely and efficiently. All equipment shall be properly maintained, meet safety standards, and be subject to inspection and approval by the Main Contractor.

9.7 Health, Safety and Environmental Compliance

The Subcontractor shall strictly adhere to all HSE requirements of the Main Contractor and the Main Contract, including project-specific HSE plans, site rules, PPE, and emergency procedures. Any breach or non-compliance by the Subcontractor, its employees, or agents may result in penalties, suspension, removal of personnel, or termination of the Subcontract at the Main Contractor's discretion. Penalties for HSE violations shall be applied as per the HSE Violation and Penalty Schedule annexed hereto and may be deducted directly from interim or final payments.

9.8 Corrective Action

All HSE or site violations shall be recorded by the Main Contractor through official notices or inspection reports. The Subcontractor shall submit a written corrective action plan within twenty-four (24) hours and promptly implement all corrective measures to the Main Contractor's satisfaction. Repeated or major violations shall constitute a material default, entitling the Main Contractor to suspend or terminate the Subcontract.

9.9 Cleanliness and Protection of Works

The Subcontractor shall keep the Site clean, orderly, and free from unnecessary debris, segregate and dispose of waste as directed, and protect all completed works, property, and services against damage or deterioration until handover.

9.10 Statutory Approvals and Sub-Letting

The Subcontractor shall obtain and comply with all permits, licenses, and statutory approvals required for the execution of the Works. The Subcontract Works, or any part thereof, shall not be assigned or sub-let without the Main Contractor's prior written consent. Unauthorized sub-letting shall constitute a material breach of the Subcontract.

10 Insurance, Indemnity, and Liability

10.1 Insurance Obligations

- a) The Subcontractor shall, at its own cost, procure, maintain, and keep in full force all insurances required under this Agreement, the Main Contract, and applicable laws for the entire duration of the Subcontract Works and any Defects Liability Period. All policies shall be issued by reputable insurers acceptable to the Main Contractor. The existence of such insurance shall not relieve the Subcontractor of any liability or obligation under the Subcontract or at law.
- b) The Subcontractor shall within **(.....Insert.....)** from the Commencement Date submit to the Main Contractor a copy of the required insurances policies described in this Subcontract.

10.2 Types Of Insurance

- a) Contractor's All Risks / Erection All Risks (Car/Ear)
Insurance covering loss or damage to the Works, plant, equipment, and materials shall be arranged by the Contractor/Employer in accordance with the Main Contract.
- b) Workmen's Compensation Insurance
The Subcontractor shall provide and maintain Workmen's Compensation Insurance in compliance with UAE Labour Law and any other applicable regulations for all personnel engaged on the Works.
- c) Third-Party Liability Insurance
The Subcontractor shall maintain Third-Party Liability Insurance covering death, personal injury, or property damage arising from or in connection with the Subcontract Works, with coverage limits not less than those required by the Main Contract.
- d) Professional Indemnity Insurance (If Applicable)
Where the Subcontractor undertakes design or design-related services, it shall maintain Professional Indemnity Insurance in amounts and for periods acceptable to the Main Contractor, valid through design, construction, and defects liability periods.

10.3 Policy Requirements

- a) All insurance policies shall name the Main Contractor, Employer, and other relevant parties as additional insureds where required and shall include a waiver of subrogation in their favour.
- b) The Subcontractor shall submit to the Main Contractor, prior to commencement of the Works, copies of all insurance certificates, policies, and endorsements evidencing compliance.
- c) Failure to maintain or renew any required insurance shall entitle the Main Contractor to withhold payments, arrange insurance at the Subcontractor's cost, suspend the Works, and/or take any necessary protective measures.

10.4 Claims and Notifications

The Subcontractor shall immediately notify the Main Contractor of any accident, incident, loss, or damage in connection with the Works and shall take all necessary steps to process, pursue, and settle related insurance claims in coordination with the Main Contractor:

- a) Arrange such insurance on behalf of the Subcontractor and deduct the full cost, including administrative charges, from any monies due or becoming due to the Subcontractor; or
- b) Suspend the Subcontract Works without liability and/or take any other necessary actions to protect its interests.

10.5 Indemnity

The Subcontractor shall indemnify and keep indemnified the Main Contractor, the Employer, and their employees, agents, and representatives from and against all losses, liabilities, damages, costs, expenses, claims, or proceedings arising out of or in connection with:

- a) the execution, non-performance, or defective performance of the Subcontract Works;
- b) injury to or death of any person;
loss of or damage to any property (including the Works, materials, equipment, or temporary works);
- c) breach of statutory requirements, permits, or approvals; or
- d) any act, omission, negligence, or default of the Subcontractor, its employees, suppliers, or agents.

This indemnity shall apply notwithstanding any insurance coverage or approval of the Main Contractor.

10.4 Subcontractor's Liability

- a) The Subcontractor shall be fully responsible for the acts, defaults, and negligence of its employees, labour, subcontractors, suppliers, and agents as if they were its own.
- b) It shall, at its own cost, make good any loss or damage caused directly or indirectly to the Main Contractor, the Employer, or any third party.
- c) Such liability shall continue beyond completion or termination of the Subcontract for any defect, damage, or claim arising from its performance.

10.7 No Limitation of Liability

I. Unlimited Liabilities;

Nothing in this Subcontract shall limit or exclude the Subcontractor's liability for:

- a) personal injury or death;
- b) fraud, wilful misconduct, or gross negligence;
- c) breach of confidentiality or intellectual property rights; or
- d) any liability that cannot legally be limited under applicable law.

II. Liability Cap

Subject to Clause I above, the aggregate liability of the Subcontractor to the Main Contractor arising out of or in connection with this Subcontract shall, to the extent permitted by applicable law, not exceed the aggregate limit of liability stated in the Appendix to the Subcontract.

10.8 Contractor's Right of Recovery

The Main Contractor may recover from or deduct against any sums due to the Subcontractor all amounts paid or payable by the Main Contractor as a result of the Subcontractor's breach, negligence, or default.

10.9 Intellectual Property Rights

All drawings, designs, specifications, and documents prepared or supplied by the Subcontractor shall become the property of the Main Contractor upon creation. The Subcontractor warrants that its work will not infringe any third-party intellectual property rights and shall indemnify the Main Contractor in full against any related claim or liability.

11 Termination

11.1 Termination By Main Contractor for Default

The Main Contractor may, without prejudice to any other rights or remedies available under this Subcontract or the law, terminate this Subcontract as whole or in part by written notice to the Subcontractor if the Subcontractor:

- a) Fails to commence, proceed with, or complete the Subcontract Works in accordance with this Subcontract;
- b) Fails to comply with any lawful instruction or direction of the Main Contractor;
- c) Becomes insolvent, bankrupt, or is the subject of any petition, proceeding, or order for winding up, administration, receivership, or assignment for the benefit of creditors.
- d) Abandons the Works or suspends performance without the Main Contractor's prior written approval; or
- e) Fails to remedy any default or breach within seven (7) days of receiving a written notice requiring it to do so.
- f) Fails to achieve progress in accordance with the Main Contractor's programme or Milestones or is in delay as defined under this Subcontract, and such delay materially affects the overall progress or completion of the Works.
- g) Executes Works that are not in compliance with the approved specifications, drawings, or quality standards, and such non-conformance is, in the Main Contractor's reasonable opinion, incapable of being remedied, corrected, or rectified within the time required under the project schedule.
- h) Fails to mobilize or maintain adequate manpower, equipment, or resources necessary to perform the Subcontract Works in accordance with the agreed programme despite receiving written notice from the Main Contractor requiring such mobilization.
- i) Engages in repeated or persistent defaults or breaches of this Subcontract, whether or not previously remedied, indicating an inability or unwillingness to perform its obligations diligently and in accordance with this Agreement.
- j) Fails to provide, renew, or maintain any required insurance, bond, guarantee, or statutory compliance document as required under this Subcontract within the specified timeframe after written notice.

11.2 Termination By Subcontractor

The Subcontractor may terminate this Subcontract only if:

- a) The Main Contractor has failed to make payment of a certified and undisputed amount due under the Subcontract within sixty (60) days of the due date for the payment without any contractual reason as stated in this contract; and
- b) The Subcontractor has given the Main Contractor thirty (30) days' prior written notice stating its intention to terminate and the grounds for such termination; and
- c) The Main Contractor has failed to remedy such non-payment within the notice period.

Any termination by the Subcontractor under this Clause shall be without prejudice to the Main Contractor's rights and shall not affect the Main Contractor's entitlement to claim for any losses, damages, or delays attributable to the Subcontractor. Any such termination shall be subject to strict compliance with the back-to-back payment and approval requirements in the Main Contract.

11.3 Effect Of Termination for Default

Upon termination under Clause 11.1:

- a) The Main Contractor shall be entitled to take immediate possession of all the Subcontractor's materials, equipment, plant, and temporary works on site, without liability to the Subcontractor.
- b) The Main Contractor may complete the Subcontract Works by itself or through others at the Subcontractor's risk and cost.
- c) The Main Contractor shall assess and determine the value of the Subcontract Works actually executed by the Subcontractor, based on the agreed contract rates and only for portions duly approved by the Main Contractor and the Consultant or the Owner. All payments to the Subcontractor shall be suspended until completion of the remaining works by the Main Contractor or others, after which any amounts due shall be adjusted to reflect deductions for defects, defaults, or damages caused by the Subcontractor.
- d) The Subcontractor shall be liable to the Main Contractor for all additional costs, damages, or losses incurred as a result of the termination, including but not limited to completion costs, consultant fees, and any delay-related damages.
- e) Any outstanding payments due to the Subcontractor shall be withheld until final determination of all costs and liabilities arising from or connected with the termination.
- f) With respect to the executed works, should the Subcontractor fail to submit, within a reasonable period from the date of termination, all required reports or documentation duly reviewed and approved by the Main Contractor or the Consultant, the Main Contractor shall be entitled to rely solely on its own records and reports regarding the executed works. Such records shall be deemed final, conclusive, and binding, and the Subcontractor shall have no right to dispute or raise any objection thereafter.
- g) The Main Contractor's rights and remedies under this Clause shall survive termination and shall not be affected by the exercise of any other right or remedy under the Subcontract or at law.

11.4 Termination For Convenience

The Main Contractor may, at its sole discretion and for any reason, terminate this Subcontract in whole or in part by giving seven (7) days' written notice to the Subcontractor.

Upon termination for convenience, the Subcontractor shall be entitled to payment for:

- a) All work properly executed and approved up to the termination date;
- b) Reasonable demobilization costs and expenses; and
- c) Approved materials and equipment ordered or delivered for the Works, provided such items are transferred to the Main Contractor's ownership and possession.

No claim shall be made by the Subcontractor for loss of profit, anticipated profits, or consequential damages arising from such termination.

11.5 Obligations Upon Termination

Upon termination for any reason, the Subcontractor shall:

- a) Immediately cease work, remove its personnel from the site, and vacate the work areas;
- b) Hand over all completed works, materials, equipment, drawings, documents, and other items belonging to the Main Contractor; and
- c) Cooperate fully to enable an orderly handover and continuation of the Works.

The Main Contractor shall have full right to take over and use all such works, materials, equipment, documents, and information for the purpose of completing or continuing the Works without restriction or liability to the Subcontractor.

11.6 Removal Of Subcontractor's Materials and Equipment

- a) The Subcontractor shall, within three (3) days from the date of termination, at its own cost and responsibility, remove from the site all its materials, tools, equipment, temporary facilities, and any other items belonging to it. The Main Contractor shall bear no responsibility for the safekeeping, loss, or damage of such items after the expiry of the said period.
- b) Any materials supplied by the Subcontractor but not installed, fixed, or incorporated into the Works by the date of termination shall not be deemed executed or payable under this Subcontract and shall remain at the sole risk and expense of the Subcontractor.

- c) For the avoidance of doubt, any such retention, use, or disposal by the Main Contractor shall not be construed as confiscation, set-off, or compensation, but solely as a corrective measure undertaken to ensure the timely and proper completion of the Works.

12 Claims

12.1 Claims Notices

If the Subcontractor considers himself to be entitled to any extension of the Time for Completion and/or any additional payment. under any Clause of these Conditions or otherwise in connection with the Subcontract. the Subcontractor shall give notice to the Main Contractor, describing the event or circumstance giving rise to the claim. The notice shall be given as soon as practicable, and not later than 7 (Seven Days) days after the Subcontractor became aware. or should have become aware. of the event or circumstance.

If the Subcontractor fails to give notice of a claim within such period of 7 days. the Time for Completion shall not be extended. the Subcontractor shall not be entitled to additional payment. and the Main Contractor shall be discharged from all liability in connection with the claim. Otherwise, the following provisions of this Sub-Clause shall apply.

12.2 Detailed Particulars

- a) Within twenty-one (21) days after the Subcontractor became aware, or should have become aware, of the event or circumstance giving rise to the claim, the Subcontractor shall submit to the Main Contractor a fully detailed claim Particulars including all supporting particulars of the basis of the claim and of the extension of time and/or additional payment claimed.

If the event or circumstance has a continuing effect:

- I. the fully detailed claim shall be considered as interim:
- II. the Subcontractor shall submit further interim claims at intervals of twenty-one (21) days, providing the accumulated delay and/or amount claimed together with such additional particulars as the Main Contractor may reasonably require; and
- III. the Subcontractor shall submit a final claim within twenty-one (21) days after the end of the effects resulting from the event or circumstance..

Failure to comply strictly with the provisions of this Clause shall constitute a condition precedent to the Subcontractor's entitlement to any extension of time and/or additional payment. In such event, the Subcontractor shall be deemed to have waived its entitlement to the claim, and the Main Contractor shall be discharged from all liability in connection with such claim.

The Subcontractor shall continue to fulfil its obligations under the Subcontract without delay and in accordance with the Time for Completion and the Subcontract Price.

13 Dispute Resolution

13.1 Amicable Settlement

In the event of any dispute, controversy, or claim arising out of or in connection with this Subcontract Agreement, the Parties shall first make all reasonable efforts to resolve the matter amicably through direct discussions between their authorized representatives.

13.2 Escalation

If the dispute cannot be resolved within fourteen (14) days of written notice by either Party, it shall be referred to the Main Contractor's senior management for further review and settlement negotiations.

13.3 Jurisdiction

If the dispute remains unresolved after escalation, the matter shall be finally and exclusively settled by (.....Insert.....), United Arab Emirates, which shall have full jurisdiction over all disputes arising out of or relating to this Subcontract Agreement. The Parties hereby irrevocably submit to the jurisdiction of the said courts for all purposes connected with this Agreement.

13.4 Continuing Obligations

Pending the resolution of any dispute, the Subcontractor shall continue to diligently perform the Subcontract Works in accordance with this Agreement and any instructions issued by the Main Contractor. Failure to do so shall be considered a breach of contract.

13.5 Back-To-Back Provisions

All claims, variations, and disputes shall be assessed on a back-to-back basis with the Main Contract. The Subcontractor's rights and entitlements shall be limited to those received or recoverable by the Main Contractor from the Employer under the Main Contract for the relevant work or claim.

14 Force Majeure

14.1 Definition

For the purposes of this Agreement, "Force Majeure" shall mean any event or circumstance beyond the reasonable control of the affected Party which prevents or delays the performance of its obligations, including but not limited to:

- a) Acts of God (such as earthquakes, floods, storms);
- b) War, invasion, acts of foreign enemies, hostilities;
- c) Acts of government or lawful authority;
- d) Epidemics or pandemics officially declared by competent authorities;
- e) Strikes or industrial disputes not confined to the Subcontractor's workforce; and
- f) Fire, explosion, or other catastrophic events beyond the control of the Parties.

14.2 Notice Of Force Majeure

The affected Party shall give the other Party written notice within forty-eight (48) hours of the occurrence of the Force Majeure event, detailing the nature, impact, and expected duration.

14.3 Obligations During Force Majeure

- a) The Subcontractor shall use all reasonable endeavours to mitigate the effects of the Force Majeure event and resume performance as soon as reasonably practicable.
- b) Force Majeure shall not relieve the Subcontractor from performing any obligation not directly affected by the event.

14.4 Extension Of Time (EOT)

- a) If the Subcontractor's performance is delayed by a Force Majeure event, the Main Contractor may grant an extension of time strictly on a back-to-back basis with the Main Contract.
- b) No extension shall be granted unless and until the Main Contractor receives a corresponding extension of time from the Employer under the Main Contract for the same event or its impact.

14.5 No Cost Compensation

The Subcontractor shall not be entitled to any additional payment, costs, loss of profit, or damages as a result of a Force Majeure event.

14.6 Termination For Prolonged Force Majeure

If a Force Majeure event continues for more than sixty (60) consecutive days, either Party may terminate this Subcontract, in whole or in part, by written notice to the other Party. In such event, the Subcontractor shall be paid for all work properly executed and approved up to the effective date of termination, less previous payments made. Neither Party shall have any further claim against the other arising out of such termination.

15 Entire Agreement

15.1 Entire Agreement

This Subcontract constitutes the entire agreement between the Main Contractor and the Subcontractor concerning the Subcontract Works and supersedes all prior negotiations, representations, or agreements, whether written or oral.

- i. No amendment or modification shall be valid unless made in writing and signed by authorized representatives of both Parties.
- ii. If any provision is found invalid or unenforceable, the remaining provisions shall continue in full force and effect.
- iii. Provisions relating to liability, indemnity, warranties, dispute resolution, and confidentiality shall survive termination or completion of the Subcontract.

15.2 Amendments

No modification or amendment to this Agreement shall be valid or binding unless made in writing and signed by authorized representatives of both Parties.

15.3 Severability

If any provision of this Agreement is found to be invalid or unenforceable under applicable law, the remainder of the Agreement shall continue in full force and effect, and the invalid provision shall be replaced with a valid and enforceable provision that most closely reflects the original intent.

15.4 Waiver

No waiver of any breach of this Agreement shall be effective unless in writing. No waiver shall be construed as a waiver of any subsequent breach.

15.5 Survival

Provisions relating to liability, indemnity, warranties, dispute resolution, confidentiality, and any other clauses which by their nature are intended to survive termination or completion of the works shall remain in full force and effect.

Annexures of the Subcontract Agreement